

INDIA COMPANY SETUP · FREE RESOURCE GUIDE

India Entry Starter Guide

Entity types · FDI routes · Incorporation checklist · Compliance calendar · DTAA basics · Legal disclaimer

Plain English

5 pages

Free

indiacompanysetup.com

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SECTION 1

Which entity type is right for you?

India offers four main structures for foreign companies. The right choice depends on your activity, FDI eligibility, headcount, and long-term plans.

Structure	Best For	Tax Rate	FDI Route	Key Point
Private Limited (WOS)	Most foreign companies entering India	25.17% (base)	Automatic in most sectors	Full repatriation of profits. Requires resident director + registered address.
Branch Office	Banks, insurance, limited activities	40% (foreign co rate)	RBI approval required	Only for specific RBI-permitted activities. High compliance burden.
Liaison Office	Market research, pre-entry scouting	NIL (no revenue)	RBI approval required	Cannot earn income in India. Max 3 years with renewal.
LLP	Professional services, small operations	30% (flat)	Automatic (select sectors)	Simpler compliance than Pvt Ltd. FDI restricted in some sectors.

Recommendation:
For most foreign companies — Private Limited Company (WOS) via the Automatic Route. 25.17% corporate tax rate, full profit repatriation, and the lowest ongoing compliance burden.

SECTION 2

FDI routes — Automatic vs Government Approval

India allows 100% FDI in most sectors. The route determines whether you need prior government approval before investing.

Automatic Route (most sectors)	Government Approval Route
· No prior RBI or Government approval needed. · File FCGPR within 30 days of share allotment. · IT / Software · Manufacturing · Consulting · E-commerce · Infrastructure · Most services · First step: Confirm NIC code not in restricted list at dpiit.gov.in	· Prior approval from DPIIT / Ministry required. · Typically takes 4–12 weeks. · Defence (>49%) · Insurance (>74%) · Media · Multi-brand retail · Banking · First step: File application with DPIIT with business plan and financial projections

SECTION 3

Incorporation checklist — what to prepare

Having these documents and decisions ready reduces the incorporation timeline from 30 to 14–21 working days.

- 1 Parent company documents**
 Certificate of Incorporation, Memorandum & Articles of Association, Board Resolution authorising India incorporation — all apostilled for India use.
- 2 Director KYC**
 Passport copy + address proof (utility bill or bank statement) for all proposed directors. Foreign directors need apostilled copies. One director must be India-resident.
- 3 Company name**
 Prepare 2–3 name options in order of preference. Names must not conflict with existing MCA registrations or registered trademarks. We check before filing.
- 4 Registered office address**
 A physical India address is mandatory. Can be a virtual/registered address initially. We can assist with registered address if needed.
- 5 Share capital & FDI structure**
 Decide authorised share capital (affects MCA fees), initial paid-up capital (min Rs. 1 lakh recommended), and shareholding structure. Must match FCGPR filing.
- 6 Object clause**
 The MOA objects clause defines what your company can do. Getting it right at incorporation avoids costly amendments later. We draft this based on your business plan.

SECTION 4

First-year compliance calendar

Once incorporated, your India entity has statutory deadlines from day one. Missing these attracts penalties — some are automatic and compound daily.

Deadline	Obligation	Penalty for Delay
Within 30 days of FDI receipt	File FCGPR with RBI (FDI reporting)	Compounding fee + possible RBI notice. Mandatory — no waiver.
Within 60 days of incorporation	Open Indian bank account and complete KYC with authorised dealer bank	Delays all subsequent compliance. Practical necessity.
30 Sept (Annual)	File Annual Return (MGT-7) with MCA	Rs. 100 per day of delay. No upper cap.
30 Sept (Annual)	File Financial Statements (AOC-4) with MCA	Rs. 100 per day of delay. No upper cap.
30 Nov (Annual)	File Income Tax Return (ITR-6)	Rs. 5,000 late filing fee. Loss of carry-forward benefits.
15 July (Annual)	File FLA return with RBI (Annual foreign liabilities & assets)	Rs. 1 lakh penalty. Overseen by RBI directly.
Monthly — 15th	TDS deposit and quarterly return (26Q / 27Q)	1.5% per month interest + 1% p.m. on short deduction. 27Q applies to foreign payments.
Monthly	GST returns (GSTR-1 + GSTR-3B) if registered for GST	Rs. 50–200 per day late fee. Input credit blocked on delayed filing.

SECTION 5

DTAA basics — avoiding double taxation

India has Double Taxation Avoidance Agreements (DTAAs) with 90+ countries. A DTAA ensures income earned in India is not taxed twice. Key concepts every foreign company must understand:

Tax Residency Certificate (TRC)	Your foreign company must obtain a TRC from its home country tax authority to claim DTAA benefits. Without it, Indian withholding tax rates (20–40%) apply in full.
Withholding Tax (TDS)	Payments from India to the parent — dividends, royalties, service fees — attract TDS. DTAA rates are usually significantly lower than standard domestic rates.
Permanent Establishment (PE)	If your India operations cross the PE threshold, the parent company is taxed in India on India-attributed profits at 40%. PE risk must be assessed before setting up.
Principal Purpose Test (PPT)	Post-BEPS, Indian tax authorities can deny DTAA benefits if the arrangement was principally set up to obtain treaty benefits. Substance in both countries matters.
Transfer Pricing (TP)	All transactions between the Indian subsidiary and the foreign parent must be priced at arm's length. Annual TP documentation is mandatory. Form 3CEB must be filed by 30 Nov.

Important:

DTAA benefits are not automatic. Your company must obtain a Tax Residency Certificate (TRC) from its home country tax authority and submit it to the Indian entity before each payment. Failure to do so results in full domestic withholding tax rates.

Ready to set up your India entity?

Book a free 30-minute consultation. We review your structure, flag risks and give you a clear action plan — no commitment.

Book Free Consultation →

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